TOPIC 3 · ECONOMIC ISSUES

ABC News (RBA research) · IBTimes UK · 9 Nov 2026
HSC Economics news explainer · 10 November 2026

How exposed is household wealth to an AI share crash?

> New RBA research shows Australian households hold a much bigger share of their wealth in AI-related shares than a few years ago. After last week's US tech sell-off, that matters for spending and growth.

WHAT HAPPENED

- RBA researchers Iris Chan and Marcus Miller estimate **5.3%** of household financial wealth was exposed to AI-related shares in June 2026, up from **2%** at the end of 2022.
- A **30% fall** in AI share prices would reduce household financial wealth by only about **1.6%**.
- Because exposure has grown, the effect of such a fall on consumer spending would now be about **twice as large** as in 2022.
- On 5 November, after the US midterms, the Nasdaq fell **5.4%** and the S&P 500 fell 4% in a single session, led by tech stocks.
- Markets partly recovered on Friday and Monday.

Wealth effect: households spend more when their assets rise in value, and less when they fall

Financial contagion: when a shock in one financial market spreads to others

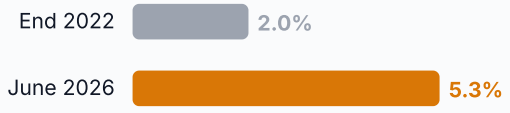
5.3%
share of household financial wealth exposed to AI shares (June 2026)

1.6%
fall in household financial wealth if AI shares fell 30%

−5.4%
Nasdaq fall on 5 Nov

BAR CHART

Household financial wealth exposed to AI-related shares



The share of household financial wealth exposed to AI-related shares has more than **doubled** since 2022.

A crash would still hit only a small part of total wealth, but the effect on **consumption** would now be about twice as large as in 2022.

Exam angle: globalisation of financial markets means a sell-off on Wall Street can quickly reduce Australian household wealth through super funds and share portfolios.

FLOW CHART

From a share market fall to slower growth

AI shares fall sharply → Household wealth falls → Wealth effect: spending falls → Aggregate demand falls → **Slower economic growth**

SYLLABUS LINK

Topic 3: economic growth and the wealth effect on consumption. **Topic 1:** global financial flows and contagion between financial markets.

TRY THIS (4 MARKS)

Explain how a fall in global share prices could affect consumption and economic growth in Australia.

Read more: ABC News markets blog, 9 Nov · IBTimes UK, 9 Nov

Diagrams are illustrative, not to scale